

Brookfield's Ground-Lease JV: A Liquidity Trade, Not a Vote of Confidence

Safehold sells a non-controlling stake to Brookfield with a buyback option, revealing the cost of public market capital.

The most important detail in Brookfield's \$348 million ground-lease joint venture with Safehold is not the size of the stake. It is the buyback option. Safehold, the publicly traded ground-lease REIT, sold a non-controlling interest in a portfolio of US ground leases to Brookfield. The structure gives Safehold the right to reacquire the stake after seven years. That is not a sale. It is a liquidity trade with a call option attached.

Public REITs face a structural tension. Their cost of equity is set by the public market, which has been punishing real estate stocks with higher required returns. Safehold's stock trades at a discount to net asset value, making equity issuance dilutive and expensive. Selling assets outright would shrink the platform and signal distress. A joint venture with a buyback option solves both problems without admitting either.

Safehold gets capital now, at a price it can live with, without permanently surrendering the portfolio. Brookfield gets a non-controlling stake in a high-quality ground-lease book, with a defined exit timeline and a partner that has every incentive to perform. The seven-year window is long enough for the rate cycle to turn and for Safehold's public market valuation to recover.

If it does not, Brookfield has a portfolio it can hold or sell on its own terms. The deal reveals something about the cost of public market capital in this cycle. Safehold is not selling because ground leases are a bad business. It is selling because the public market is demanding a return that the company cannot generate from retained cash flow alone.

The joint venture is a bridge to a better equity market, not a permanent restructuring. For Brookfield, the structure is attractive because it offers downside protection. A non-controlling stake in a ground-lease portfolio means Brookfield is not responsible for operating risk. The ground lease is a senior claim on the cash flow, insulated from the volatility of the underlying building performance.

If the tenant defaults, the ground lease holder has recourse against the fee interest. Brookfield is buying a stream of contractual payments with a built-in floor. The buyback option also limits Brookfield's upside, but that is the point. Brookfield is not trying to capture the full recovery in Safehold's stock.

It is deploying capital at a risk-adjusted return that works in the current rate environment, with a clear path to liquidity in seven years. The structure is a bet on time, not on conviction. Who benefits? Safehold benefits most. It gets capital without a dilutive equity raise or a permanent asset sale. The buyback option preserves the upside if public market conditions improve.

Brookfield benefits from a stable, senior cash flow stream with a defined exit. The market benefits from a transaction that shows institutional capital is willing to engage with ground leases, but only on terms that limit downside. Who is exposed? Safehold's shareholders are exposed to the risk that the buyback option is exercised at a price that does not reflect the portfolio's full value.

If the public market does not recover in seven years, Safehold may have to issue equity to repurchase the stake, compounding the dilution. Brookfield is exposed to the risk that the ground leases underperform, but that risk is limited by the seniority of the claim. The deal is not proof that ground leases are back in favor.

It is proof that public REITs with a discount to NAV will use creative structures to access capital without permanently shrinking their footprint. The next phase of the market will not be defined by who owns the best assets. It will be defined by who can access the cheapest capital without giving up control.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co